

In a perfect world, these unconstrained investors would bid up the price of A until it no longer has any excess returns. And they would sell B until its returns reach a fair level relative to the CAPM. In this perfect world, the risk anomaly disappears.

Now consider a long-only investor subject to tracking error constraints that place limits on how much she can deviate from benchmark (see equation (10.3)). This investor cannot short. This investor does *not* invest in A, even though A is offering high returns relative to the CAPM. The returns of A are higher than the CAPM predicts. Stock A would even perform in line with the market. But, by investing in A, she takes on significant tracking error.

What about stock B? Stock B has negative alpha. To make money, she needs to short stock B, and she cannot do so. The best that she can do is to avoid buying stock B, thus making at most a small active bet relative to the market portfolio. The tracking error constraint also limits the underweight position in stock B that she can hold. If the “Data” line is in fact just slightly upward sloping rather than perfectly flat, then she actually has an incentive to buy B rather than sell it short because B could outperform the market.

Thus, the use of tracking error with these benchmarks makes it hard to bet against low volatility or low beta. Tracking error is a binding constraint for GM Asset Management. It is also a binding constraint for most institutional asset owners. One obvious solution is to change the benchmarks, and there are certainly more appropriate factor benchmarks available (see section 3 and chapter 14). But changing benchmarks at GM is a lengthy process requiring approval of the investment committee. It opens up a broader issue of how all benchmarks “depend on funded status and on the health of the parent,” as Scott explains.

Frazzini, Kabiller, and Pedersen (2012) even argue that low-risk factors play a part in explaining the superior performance of Berkshire Hathaway—a company well known for its ability to go against the crowd and avoid common agency issues. They find that Buffett’s alpha declines from 12.5% from 1976 to 2011 using the Fama–French and momentum benchmark we’ve been using in this chapter to 11.1% when including the *BAB* factor. If they add another factor measuring the underlying quality of companies, Buffett’s alpha falls to 7.0%. So some of Buffett’s investing prowess is due to Buffett selecting stocks with low risk, but most of Buffett’s investment prowess comes from ferreting out gems with high underlying quality—true skill that is unrelated to just holding low-volatility stocks.

Preferences

If asset owners simply have a preference for high-volatility and high-beta stocks, then they bid up these stocks until they have low returns. Conversely, these investors shun safe stocks—stocks with low volatility and low betas—leading to low prices and high returns for these shares. Thus, “hopes and dreams” preferences,